

AUDIT INVESTIGATION REPORT

Investigation No. INV-00054 | Type: Financial Investigation

Investigation ID:	INV-00054
Investigation Type:	Financial Investigation
Status:	COMPLETED
Trigger Source:	Routine audit sampling
Lead Investigator:	Henry Hoffman (EMP-15965)
Subject Employee:	Michael Perez (EMP-11910)
Related Vendor:	JadeCore Solutions LLC (VND-03470)
Related Transaction:	TXN-C1688868596
Scope Period:	2023-05-12 to 2023-08-21
Created Date:	2024-05-25
Completed Date:	2024-09-17
Outcome:	SUBSTANTIATED

1. AUDIT QUESTION

"Identify transactions with round-number amounts processed outside business hours."

2. BACKGROUND

This investigation was initiated following a routine audit sampling relating to activity associated with employee Michael Perez (EMP-11910) and vendor JadeCore Solutions LLC (VND-03470). The investigation scope covers the period 2023-05-12 to 2023-08-21 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-C1688868596 (amount 231,209.59 USD, risk score 0.35). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-002849	MEDIUM	APPROVAL LIMIT	Payment of \$232,971 approved at Level 1, which has a limit of \$100,000. Transaction exceeded limit by \$19,664.
FND-003071	MEDIUM	VENDOR RISK	BLACKLISTED vendor VND-VND-00123 received payment of \$120,628 via contract CON-100193 that was not updated following blacklisting.
FND-003069	MEDIUM	POLICY BREACH	Employee submitted Marketing claim 27% above the authorised policy limit without prior exception approval.

5. CONCLUSION

Based on the evidence reviewed, the allegations underlying this investigation are **SUBSTANTIATED**. The control breakdown identified poses a medium risk to the organisation and requires remediation.

6. ACTIONS TAKEN

- No further action required; control gap addressed through process update.
- Formal written warning issued and recorded in personnel file.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Henry Hoffman	EMP-15965	2024-09-17